APR (278470 KS)

FX headwinds temporary; growth intact

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BUY (M)

Target price	W435,000 (Down)
Previous target price	W540,000
Current price (Oct 30)	W261,000
Upside potential	67%

Market cap (Wbn)	9,771
Shares outstanding	37,438,155
Avg daily T/O (2M, Wbn)	110
Avg daily volume (2M, shrs)	310,217
52-week high/low (won)	464,500 / 211,000
Foreign ownership (%)	38.67%
Dividend yield (%)	2.20%
Major shareholders	Byeong-hun Kim & others

Stock performance

(%)	1M	3M	12M
Absolute	(28.7)	(17.1)	3.0
Relative	(14.9)	(19.1)	(26.6)
Abs (US$)	(27.7)	(10.7)	10.1

3Q26 review: record revenue, but forex weighs on earnings

APR reported 3Q26 revenue of W773.1bn (+100% YoY) and OP of W160.6bn (+69% YoY; OPM 20.8%), with OP missing consensus of W181.4bn. Forex movements were the primary reason for the earnings miss. During 3Q26, the dollar and euro each depreciated 13% against the won, resulting in valuation losses on foreign-currency-denominated trade receivables. Following the company's early adoption of IFRS 18, these losses were reflected in OP, reducing OPM by 1.9%p. Lower revenue in won terms increased the cost burden, further reducing OPM by 1.7%p. These two factors combined weighed on OP by around W27.8bn and on OPM by 3.6%p. Since the 4Q26 cumulative average forex rate is lower than in 3Q26, forex burdens will likely persist for the time being. APR does not engage in separate forex hedging and plans to mitigate forex impacts by shortening its receivables collection cycle. Cosmetics/beauty revenue came to W682.3bn (+151% YoY). The top 10 SKUs accounted for 40% of sales, with top seller Zero Pore Pad accounting for less than 10%. Beauty device revenue came to just W84.7bn (-18% YoY) due to an absence of promotions. Overseas revenue came to W722.9bn (+135% YoY), accounting for 94% of total sales. In terms of costs, advertising expenses in 3Q26 stood at 20% of revenue, in line with the 1H26 average. Selling commissions were around 17% and freight logistics costs 9%. A tariff refund of W10bn was also recognized in 3Q26.

Maintains guidance; channel expansion, new biz to sustain growth

APR maintained its full-year revenue guidance of W3tn. Given forex pressure, the company plans to achieve its original absolute OP target (W730-750bn) through top-line expansion rather than focusing on OPM. In 4Q26, daily sales across US and European markets hit all-time highs during October Amazon Prime Big Deal Days. In North America, the company entered Ulta, Target, Walmart, Costco, and CVS. The online-to-offline mix came to 7:3, with the offline portion increasing QoQ. The mix stands at 6:4 in Europe, and the company is expanding shelf space within Boots and is in ongoing negotiations with new retailers. Among markets outside North America and Europe, Latin America accounts for the highest share of revenue and is posting triple-digit growth. Remaining tariff refunds stand below W10bn. The firm plans to launch its high-intensity focused ultrasound (HIFU)-based energy-based device (EBD) in Korea as early as late this year, while its RF-based EBD is targeted for launch in 2H27. Polynucleotide (PN)-based skin boosters began in-house production at APR Factory Campus 3 from July, and will be officially launched in Chile in November. The domestic launch is expected in early-2028.

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	723	1,527	3,059	4,700
OP	123	366	721	1,140
Net profit, CI	108	290	532	851
P/E (x)	19.8	19.8	18.4	11.5
P/B (x)	5.9	12.8	12.4	6.8
EV/EBITDA (x)	14.7	14.0	12.8	7.9
ROE (%)	41.3	75.3	86.4	76.3

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

APR: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26P	4Q26E	2026E
Sales	266	328	386	548	1,527	593	768	773	925	3,059
YoY (%)	*79*	*111*	*122*	*124*	*111*	*123*	*134*	*100*	*69*	*100*
QoQ (%)	*9*	*23*	*18*	*42*		*8*	*29*	*1*	*20*	
[Sales by business]										
Beauty device	91	90	103	123	407	133	112	85	110	439
Cosmetics/beauty	165	227	272	413	1,077	453	648	682	808	2,591
Others (clothing/instant photobooth)	10	11	11	12	43	8	7	6	7	29
[Sales growth by business (%)]										
Beauty device	*36*	*32*	*38*	*19*	*30*	*46*	*24*	*-18*	*-10*	*8*
Cosmetics/beauty	*152*	*217*	*220*	*255*	*218*	*174*	*186*	*151*	*96*	*141*
Others (clothing/instant photobooth)	*-40*	*-32*	*-28*	*-51*	*-40*	*-20*	*-31*	*-42*	*-42*	*-34*
[Sales by country]										
Korea	77	74	78	73	303	65	63	50	50	225
US	77	103	164	266	609	272	376	358	475	1,481
Japan	19	30	21	42	113	84	145	175	185	589
Greater China (CH/HK/TW)	78	106	104	136	424	136	121	115	150	522
Others	15	15	19	31	80	37	62	75	65	239
OP	**55**	**85**	**96**	**130**	**366**	**146**	**191**	**161**	**224**	**721**
OPM (%)	*21*	*26*	*25*	*24*	*24*	*25*	*25*	*21*	*24*	*24*

Note: early adoption of K-IFRS 1118 starting from FY2026, Source: company data, Yuanta Securities

APR: earnings forecast revision (Wbn, %, %p)

	Old			New			Difference		
	4Q26E	2026E	2027E	4Q26E	2026E	2027E	4Q26E	2026E	2027E
Sales	9,250	30,659	47,000	9,250	30,590	47,000	*0.0%*	*-0.2%*	*0.0%*
OP	2,400	7,721	12,000	2,242	7,210	11,400	*-6.6%*	*-6.6%*	*-5.0%*
OPM	*25.9%*	*25.2%*	*25.5%*	*24.2%*	*23.6%*	*24.3%*	*-1.7%p*	*-1.6%p*	*-1.3%p*

Source: Yuanta Securities

We maintain BUY on APR, but revise down our target price to W435,000. We revised down our earnings estimates, reflecting valuation losses on foreign currency trade receivables and lower revenue in won terms due to the sharp won appreciation in 3Q26. Forex pressure will likely persist for some time as the 4Q26 cumulative average forex rate is lower than 3Q26 and the company recognizes revenue based on the annual average exchange rate. We derived our target price by applying a P/E of 20.4x to 12-month-forward EPS. We revised down our target price due to external forex factors, and we believe growth drivers remain intact. APR maintained its full-year revenue guidance of W3tn. Moreover, mid- to long-term growth factors remain valid, including record-high daily revenue during October's Amazon Prime Big Deal Days, the expansion of offline channels in North America and Europe, and visible progress in new businesses including medical aesthetic devices and skin boosters. Shares currently trade at a 12-month-forward P/E of 12.2x, implying 66.7% upside to our target price. Given projected earnings growth of 60% in 2027, we believe the stock has a solid valuation appeal.

APR: P/E multiple for target price calculation

	2026E	2027E	Note
Net profit, CI (Wbn)	533	851	
Number of shares ('000)	37,440	37,440	Period-end common shares outstanding
EPS (won)	14,223	22,731	12-month-forward EPS
Fair P/E (x)	20	20	
Fair price (won)	284,469	454,616	**W435,000원**
Upside (%)	9	74	**66.7%**

Source: Yuanta Securities

APR (278470 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**723**	**1,527**	**3,059**	**4,700**	**6,200**
Cost of sales	179	357	678	1,035	1,340
Gross profit	544	1,171	2,381	3,665	4,860
SG&A	421	805	1,660	2,525	3,320
Operating profit	**123**	**366**	**721**	**1,140**	**1,540**
EBITDA	145	396	751	1,170	1,570
Non-operating profit	11	-1	-1	1	2
Forex gains	6	-4	0	-7	-8
Net interest income	2	0	2	6	16
Equity-method gains	0	0	0	0	0
Other	3	2	-3	2	-6
Net prof before income tax	133	364	720	1,141	1,542
Income tax	26	75	188	290	390
Net profit from continuing ops	108	290	532	851	1,152
Net profit from discontinued ops	0	0	0	0	0
Net profit	108	290	532	851	1,152
NP for controlling interest	**108**	**290**	**532**	**851**	**1,152**
Total comprehensive income	106	288	531	849	1,150
Total comprehensive income, CI	106	288	531	849	1,150

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**286**	**546**	**731**	**1,302**	**2,109**
Cash & cash equivalents	90	154	40	28	48
Accounts receivables & other	49	92	184	242	257
Inventory	110	165	331	509	672
Non-current assets	279	226	241	279	366
Tangible assets	51	60	57	75	143
Investment in affiliates	0	0	0	0	0
Other investment assets	62	45	64	85	105
Total assets	**565**	**772**	**972**	**1,581**	**2,475**
Current liabilities	145	238	150	110	60
Accounts payable & other	70	146	110	85	50
ST financial liabilities	0	0	0	0	0
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	96	88	36	26	11
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**242**	**326**	**186**	**136**	**71**
Equity, controlling interest	324	446	786	1,445	2,404
Paid-in capital	4	4	4	4	4
Capital surplus	137	13	13	13	13
Retained earnings	229	427	769	1,430	2,391
Equity, non-controlling interest	0	0	0	0	0
Total equity	**324**	**446**	**786**	**1,445**	**2,404**
Net debt	**-6**	**-178**	**-147**	**-486**	**-1,131**
Total debt	113	101	50	35	10

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**79**	**341**	**297**	**648**	**996**
Net profit	108	290	532	851	1,152
Depreciation & amortization	22	29	29	29	29
Forex gains	-5	-1	0	7	8
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-58	-32	-269	-242	-195
Other	14	56	4	3	2
Investing cash flow	**-110**	**-94**	**-78**	**-404**	**-717**
Investment	-45	-87	-20	-21	-19
Increase in tangible assets	-45	-15	-30	-50	-100
Decrease in tangible assets	0	0	4	3	2
Other	-19	8	-32	-336	-600
Financing cash flow	**-5**	**-182**	**-184**	**-147**	**-156**
ST financial liabilities	7	0	-3	-5	-10
Debenture/LT financial liabilities	83	-12	-48	-10	-15
Equity	76	-123	0	0	0
Cash dividend	0	-134	-191	-191	-191
Other cash flow	-170	88	58	59	59
Consolidation adj and other	0	-1	-150	-109	-103
Increase in cash & equivalents	**-35**	**64**	**-114**	**-12**	**20**
Beginning cash & equivalents	125	90	154	40	28
Ending cash & equivalents	90	154	40	28	48
NOPLAT	123	366	**721**	**1,140**	**1,540**
FCF	**34**	**326**	**267**	**598**	**896**

Valuation

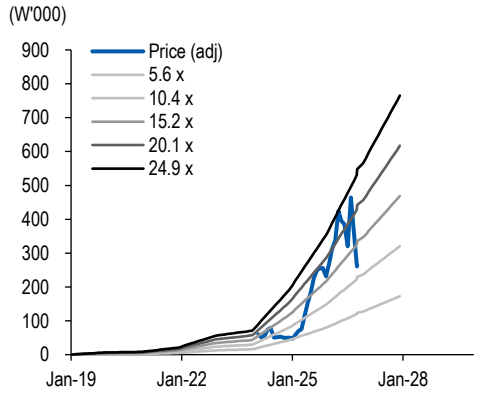
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	2,842	7,704	14,223	22,731	30,757
BPS (won)	9,599	11,910	20,997	38,594	64,217
EBITDA/shr (won)	3,836	10,527	20,068	31,259	41,943
SPS (won)	19,092	40,623	81,710	125,540	165,606
DPS (won)	0	5,090	5,090	5,090	5,090
P/E (x)	**19.8**	**19.8**	**18.4**	**11.5**	**8.5**
P/B (x)	**5.9**	**12.8**	**12.4**	**6.8**	**4.1**
EV/EBITDA (x)	**14.7**	**14.0**	**12.8**	**7.9**	**5.5**
P/S (x)	**2.9**	**3.7**	**3.2**	**2.1**	**1.6**

Key financial data

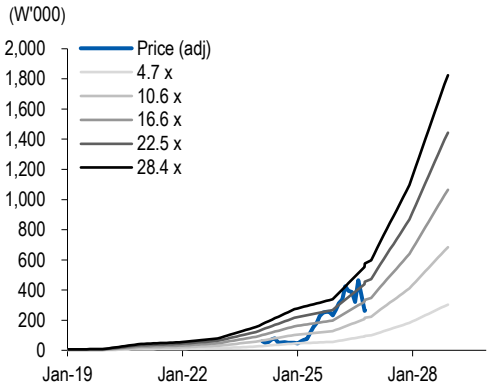
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**38.0**	**111.3**	**100.3**	**53.6**	**31.9**
Operating profit (%YoY)	**17.8**	**197.9**	**97.3**	**58.1**	**35.1**
Net profit, CI (%YoY)	**31.9**	**169.2**	**83.8**	**59.8**	**35.3**
Gross margin (%)	75.2	76.6	77.8	78.0	78.4
Operating margin (%)	**17.0**	**23.9**	**23.6**	**24.3**	**24.8**
Net margin, CI (%)	14.9	19.0	17.4	18.1	18.6
EBITDA margin (%)	20.1	25.9	24.6	24.9	25.3
ROIC (%)	137.0	261.4	181.9	137.9	126.0
ROA (%)	25.2	43.3	61.1	66.7	56.8
ROE (%)	**41.3**	**75.3**	**86.4**	**76.3**	**59.8**
Debt-to-equity (%)	74.7	73.1	23.7	9.4	2.9
Net debt-to-equity (%)	-1.8	-39.9	-18.6	-33.6	-47.0
OP/financing cost (x)	32.6	103.7	289.9	813.7	2,076.3

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

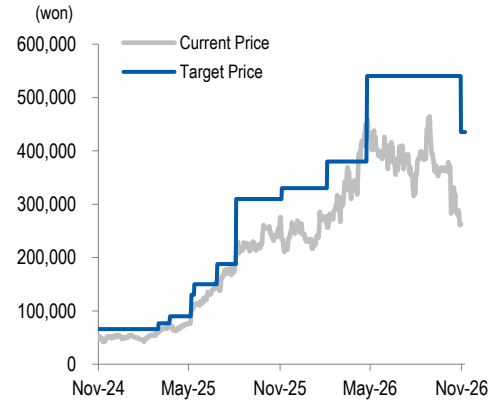
P/E band chart



P/B band chart



APR (278470 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/03	BUY	435,000	1 yr		
2026/11/02	BUY	435,000	1 yr		
2026/04/27	BUY	540,000	1 yr	-30.13	-13.98
2026/02/06	BUY	380,000	1 yr	-11.31	18.42
2025/11/07	BUY	330,000	1 yr	-25.77	-13.33
2025/08/07	BUY	310,000	1 yr	-25.14	-10.97
2025/06/30	BUY	188,000	1 yr	-9.67	10.90
2025/05/15	BUY	150,000	1 yr	-15.25	1.07
2025/05/09	BUY	130,000	1 yr	-17.69	-15.85
2024/10/10	BUY	66,000	1 yr	-22.42	-8.94

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 03, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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